Driving Bilateral Growth Through Commerce and Innovation

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Foreword

The Chamber of Commerce and Industry of India (CCI India) mandate to generate rigorous, policy-relevant research that informs the decisions of government ministries, industry associations, and the business community. Bilateral trade between India and Russia reached a record USD 68.69 billion in the 2025-26 fiscal year, with both governments having set an ambitious target of USD 100 billion in trade and USD 50 billion in mutual investment by 2030. Realising this target will require sustained institutional facilitation, sector-specific engagement, and a far more diversified trade basket than the energy-dominated composition that characterises bilateral commerce today.

This report examines Russia not merely as a source of energy and defence cooperation but as an economy in transition, one that is recalibrating its industrial base, technology partnerships, and trade orientation toward Asia. It identifies concrete opportunities for Indian enterprises, particularly micro, small and medium enterprises (MSMEs) and startups, across sectors ranging from agricultural machinery and pharmaceuticals to fintech, renewable energy, and the digital economy. Equally, it addresses candidly the structural challenges Russia faces, including the effects of international sanctions, demographic pressures, and constraints on technology access, and it examines what these challenges mean for Indian businesses seeking to engage with the Russian market.

A central objective of this report is to define, in concrete and actionable terms, the role that CCI India can play as an institutional bridge between the two economies. Trade promotion, investment facilitation, sector-specific task forces, startup exchange programmes, MSME partnerships, and knowledge-sharing platforms are among the mechanisms through which CCI India intends to contribute meaningfully to bilateral economic cooperation over the coming decade. This report should be read not as an academic exercise but as an institutional roadmap for action.

I extend my appreciation to the Research and Data Analytics team at CCI India for their diligence in compiling this report, and I commend it to policymakers, industry leaders, and the wider business community as a reference document for India-Russia economic engagement in the years ahead.



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RUSSIA

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Basic Facts and Economic Overview

Russia is the largest country in the world by land area, spanning Eastern Europe and Northern Asia, with Moscow as its capital. As of 2025 projections, Russia's population is approximately 143–145 million.

Russia is classified as an upper-middle-income economy with a strong resource-based economic structure. It is one of the world's leading producers of oil, natural gas, and minerals. The economy is heavily dependent on energy exports, though it also has significant industrial and defense sectors. Recent geopolitical developments and sanctions have led to economic adjustments, including diversification toward Asia and strengthening domestic industries.

Economy — GDP, Structure & Recent Performance

Russia's nominal GDP is estimated at approximately USD 2.5–2.6 trillion (2025).

- Sectoral Composition: Services: ~65–68%
- Industry (Energy, Manufacturing): ~25–27%
- Agriculture: ~5–6%

Economic growth has been moderate, around 1–2%, with resilience supported by energy exports and domestic demand. Sanctions have significantly influenced trade patterns and economic policy.

Bilateral Trade with India

Trade between India and Russia has expanded significantly, estimated at approximately USD 68–70 billion annually (2024–25), largely driven by energy imports.

India imports crude oil, fertilizers, and defense equipment, while exporting pharmaceuticals, machinery, and agricultural products.

Population

Russia's population is approximately 144 million, with a declining trend due to demographic challenges. Major cities include Moscow and Saint Petersburg, which serve as economic and cultural hubs.



Cultural and Heritage

The culture and heritage of Russia are rich and deeply rooted in history, art, and tradition. Russia is famous for its classical music, ballet, literature, and beautiful architecture. The country has a strong cultural identity shaped by Orthodox Christianity, folk traditions, and royal history. Historic landmarks like the Kremlin and colorful churches reflect its artistic and architectural heritage. Russian festivals, traditional dances, and handmade crafts continue to preserve its unique cultural legacy.

Import and Export from India

Russia imports pharmaceuticals, machinery, chemicals, and consumer goods, some of which originate from India either directly or through intermediaries. Direct exports from Russia to India include crude oil, fertilizers, and defense-related equipment, with additional trade routed through global supply chains.

Strategic Importance and Key Observation

Russia is strategically important as a major energy supplier and a key geopolitical power, playing a critical role in global oil and gas markets as well as regional stability. Its vast natural resources and influence across Eurasia make it an essential partner in energy security and international diplomacy. For India, engagement with Russia remains significant for securing energy supplies, maintaining strategic balance, and advancing long-term economic and defense cooperation.

Opportunities and Risks for Indian Businesses

Opportunities:

- Energy and oil trade
- Defense and strategic cooperation
- Pharmaceuticals and agriculture

Risks:

- Geopolitical tensions and sanctions
- Currency volatility
- Trade restrictions



Cultural and Strategic Economic Ties

India and Russia share a long-standing strategic partnership, particularly in defense, energy, and nuclear cooperation. The relationship is anchored in decades of trust and high-level political engagement, with Russia being a key supplier of defense equipment and a major partner in energy projects, including oil, gas, and nuclear power. Both countries continue to deepen cooperation through joint ventures, technology transfer, and expanding trade under evolving global dynamics.

Conclusion – Summary & Recommendation

Russia remains a resource-rich strategic partner for India, particularly in oil, gas, and nuclear energy, and in defense-industrial cooperation. However, the relationship faces two structural pressures that this paper's recommendations must account for: first, a pronounced trade imbalance (India's imports from Russia outweigh exports roughly 13:1), which both governments have flagged as requiring urgent correction; and second, tightening US sanctions and tariff measures that are actively reducing India's Russian crude imports as of 2025–26.

India should therefore pursue energy diversification and deepened defense-industrial cooperation while treating current Russian supply volumes as a moving target rather than a stable baseline — and should calibrate this engagement against the larger economic stakes tied to its Western trade and financial relationships.

Chapter 1: Russia at a Glance

The Russian Federation is the largest country in the world by land area, spanning eleven time zones across Eastern Europe and Northern Asia. It is a resource-rich, industrially diversified economy with deep strategic significance for India, both as a long-standing defence and energy partner and as an emerging market for diversified Indian exports.

1.1 Geography and Demographics

Indicator	Detail
Land Area	17.1 million sq. km (largest country in the world)
Capital	Moscow
Population	Approximately 146.1 million (2024 census)
Major Cities	Moscow, Saint Petersburg, Novosibirsk, Yekaterinburg, Kazan
Time Zones	11
Official Language	Russian
Currency	Russian Rouble (RUB)
Land Borders	Shares borders with 14 countries, including China, Kazakhstan, and several EU and CIS states

Russia's vast geography gives it access to the Arctic, the Pacific, the Baltic, and the Black Sea, positioning it as a natural link between European and Asian markets. This geographic breadth is central to Russia's ongoing strategy of reorienting trade infrastructure, including the International North-South Transport Corridor (INSTC), toward Asian partners including India, Iran, and the states of Central Asia.

1.2 Political System

Russia is a federal semi-presidential republic comprising 89 federal subjects, including republics, oblasts (regions), krais (territories), and federal cities. Executive authority is vested in the President, who is head of state, with the Chairman of the Government (Prime Minister) heading the federal executive. The Federal Assembly, comprising the State Duma (lower house) and the Federation Council (upper house), constitutes the legislative branch. For Indian businesses, the federal structure means that engagement often requires parallel attention to federal policy in Moscow and regional economic administrations, particularly for manufacturing, agriculture, and resource-sector investments located outside the capital.

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